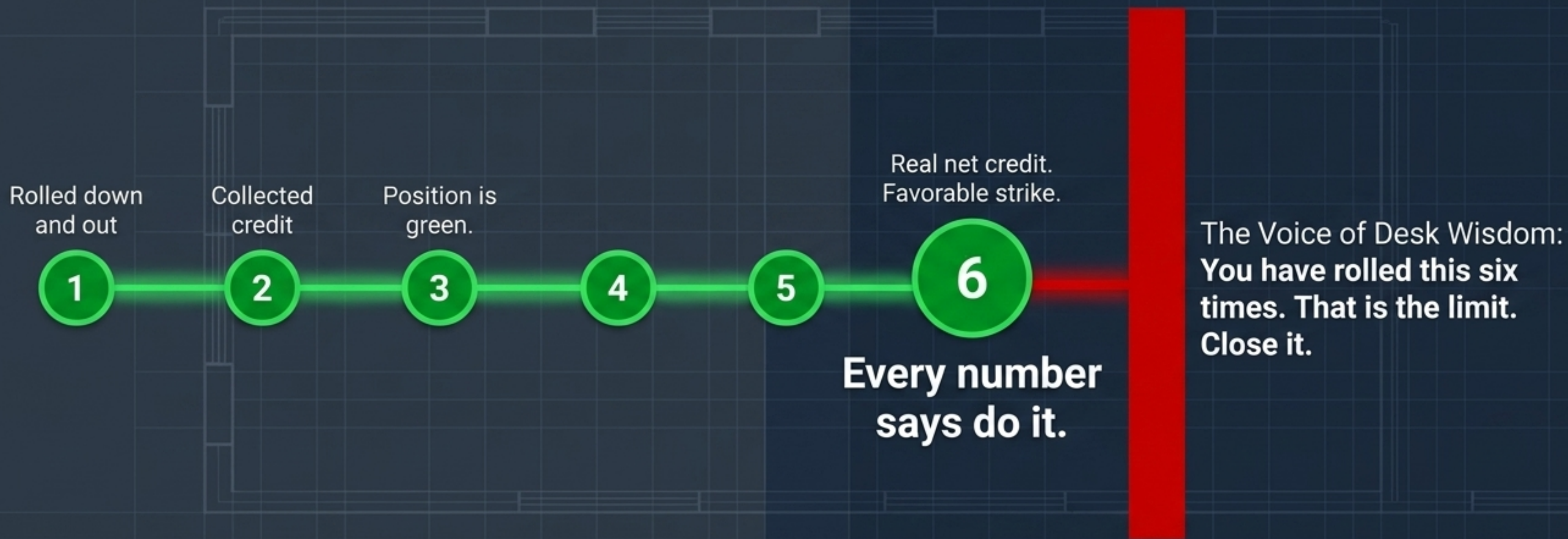


The Rule I Never Believed.

Why counting rolls is the
wrong way to manage
short options.

By Sam Vishwas, Founder of OTS Ullu.





She crosses a fresh spread, pays the commissions, and rebuilds her exposure from scratch—not because the next trade is better, but because a counter said her allowance was up.

THE CAP RULE (4-to-6 Rolls)

Mandate

Prospectus limits exposure duration. Rolls quietly create longer-dated positions.

Auditors & LPs

Rolled underwater positions hide ugly quarterly marks. The cap forces losses into daylight.

Margin Math

Portfolio margining punishes aging, deteriorating positions. Capital gets eaten alive.

Attention Budget

4,000 aging chains, too few analysts. The counter drags scarce senior attention to the problem.

The cap is excellent engineering for a problem most of us do not have.

THE INSTITUTIONAL DESK

Prospectus Limits

Limited Partner Reviews

Degrading Portfolio Margin

Lack of Human Attention

THE INDIVIDUAL BOOK

 **No Prospectus to breach.**

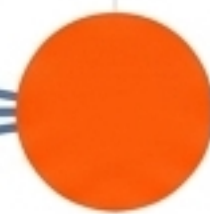
 **No LPs reading your marks.**

 **Cash is cash** (No margin creep on cash-secured puts).

 **You are already the human in the loop.**

Inheriting this rule is like installing a smoke detector built for a **commercial kitchen** in a house with no stove.

Strip away the institutional machinery, and the cap
was always reaching for one single question...



**Would I open this exact
position, fresh, today?**

✓ Same underlying. ✓ Same strike. ✓ Same delta. ✓ Same implied volatility.

If you were sitting on cash right now, would you put this trade on?

Would I open this exact position fresh today?

YES

NO

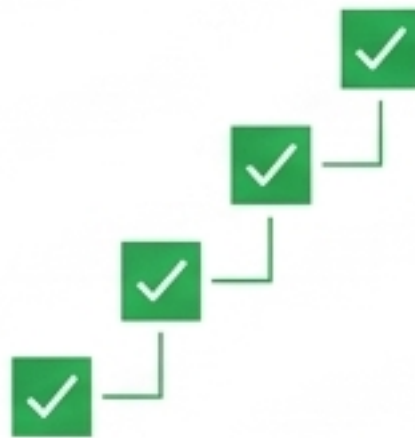
Rolling is the superior execution.

Rolling and starting fresh are economically identical, but rolling is cheaper. No new spread to cross, no extra commissions, no break in the thesis. The capital goes to work either way; rolling simply gets it there without paying the toll twice.

The roll is a trapped loss wearing a costume.

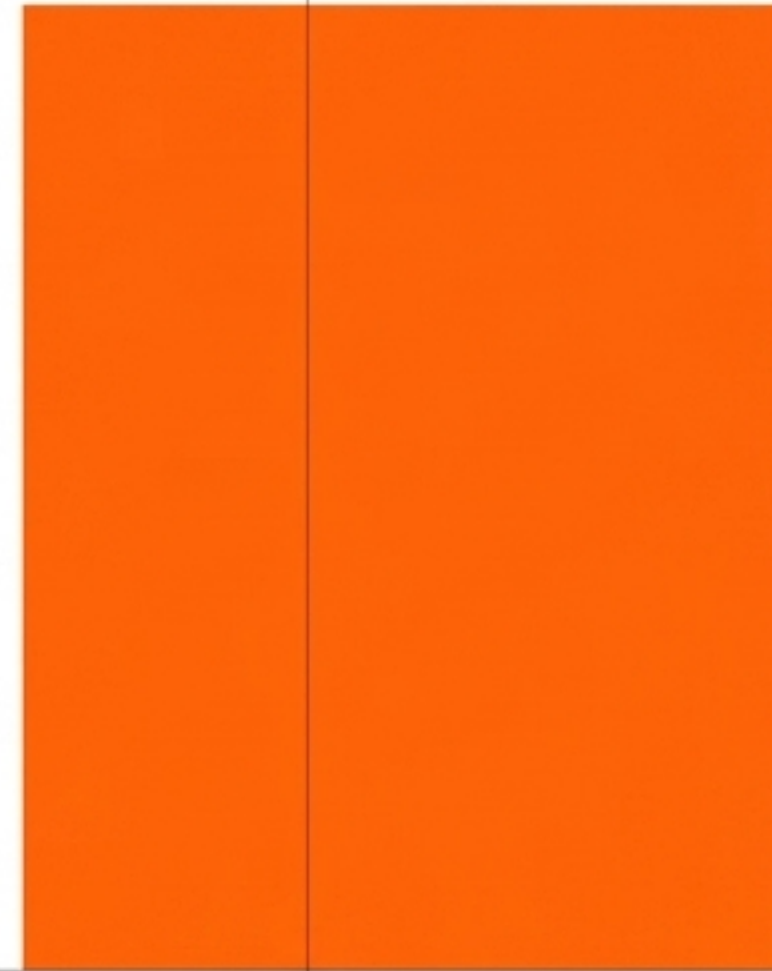
If you wouldn't choose it fresh, the honest comparison is not "is this roll positive?" It is "is this roll better than the best thing I could do with the same capital?"

The Illusion



A roll earning 8% a year with a "net credit" and "better strike".

The Reality



Fresh trades on your platform averaging 15%.

A position can fail the merit test on roll two, or sail through on roll twenty-five. A trade fails the test no matter how many green checkmarks it collects if it loses to your best fresh alternative.

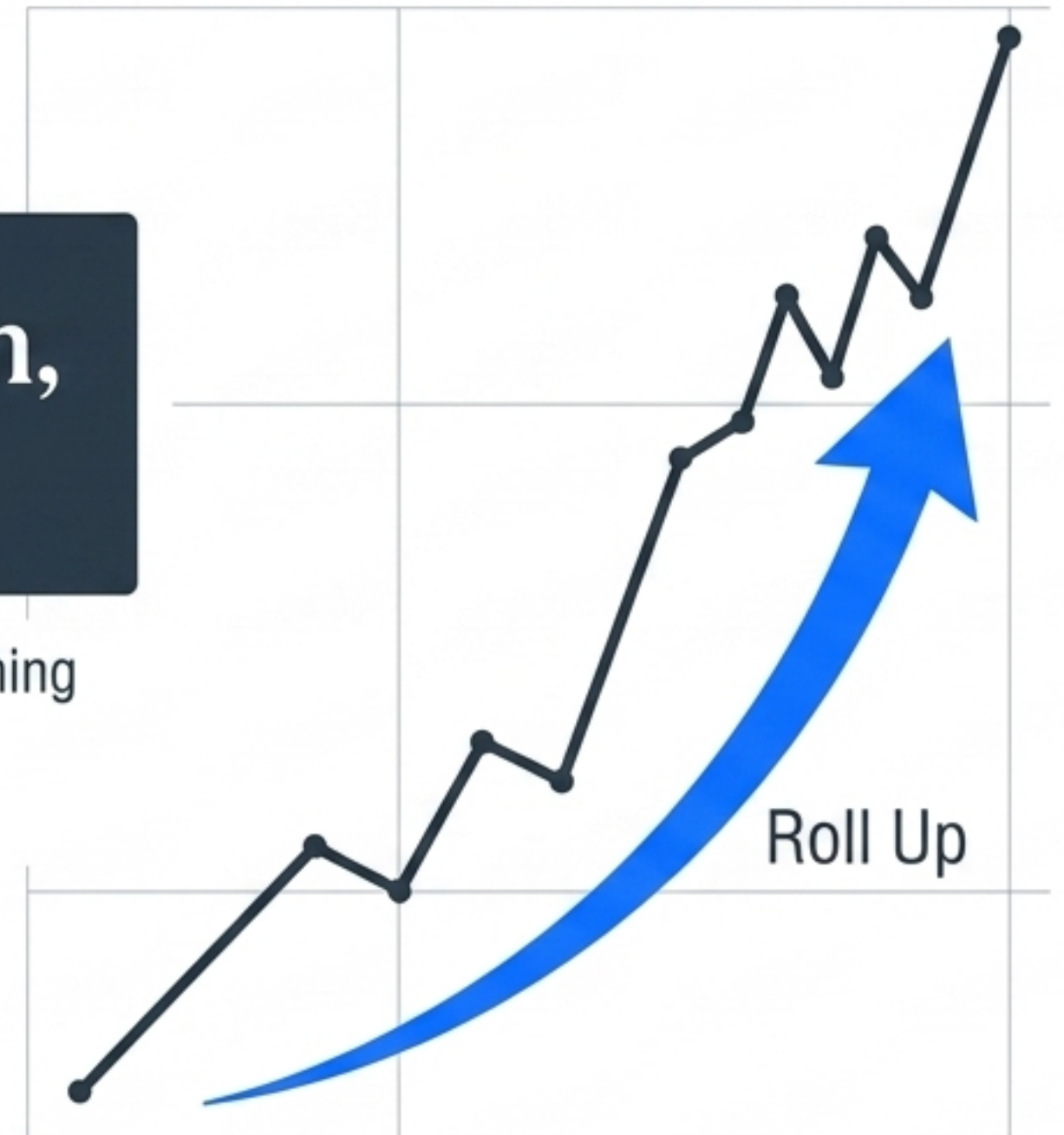
Chasing a falling stock.



**Different direction,
identical sin.**

The number of prior rolls tells you nothing
about which case you are in.
The merits tell you everything.

Chasing a runaway stock.



YIELD: Credit is drying up.



Data: \$1.80 → \$0.90 → \$0.30 → \$0.10. You are no longer harvesting premium; you are rolling for free just to avoid a loss.

VALUE: Strike is walking away.



The quiet killer. Buying back a ballooned put to sell a lower one locks in a fat loss while you chase a falling knife for pennies.

TIME: Time is getting expensive.



Going 90 days out to scrape what 30 days used to pay. Premium becomes an interest rate you charge yourself.

PORTFOLIO RISK: Eating the book.



Defending one ticker grows it into a quarter of your buying power. A great trade becomes a terrible portfolio.

When the Counter is the Right Tool, Yes, Really.

- ☒ You manage pooled money under a mandate.
- ☒ You answer to limited partners or auditors.
- ☒ Your margin degrades as positions age.
- ☒ You run a fully automated account where no human reviews each chain.

Match the rule to your own constraints, not to someone else's. In the institutional world, judgment does not scale, but a counter does.

Trading on a Tally (The Old Way)

 Uses arbitrary limits (4 to 6).

 Cares about how many times you've been here.

 Flags a calm market on roll thirty; waves a crash right through on roll three.

 Evaluates the single roll in front of you.

Trading on Merits (The OTS Ullu Way)

 Uses day-one conviction.

 Asks whether you would choose to be here now.

 Stops trades based on yield, time decay, and portfolio risk.

 Evaluates the trajectory of the whole chain.

I am building OTS Ullu because I want individual investors to have the systematic discipline of an institutional desk without inheriting the cage that desk lives in.

If you have built roll logic on a real desk, or lived inside the mandates and margin math I have only studied from the outside, push on this. Tell me where it holds and where it breaks. So, where am I wrong? That is the most useful thing you could tell me.

Sam Vishwas, Founder, OTS Ullu.
Wisdom-Driven Investing for Long-Term Wealth.